

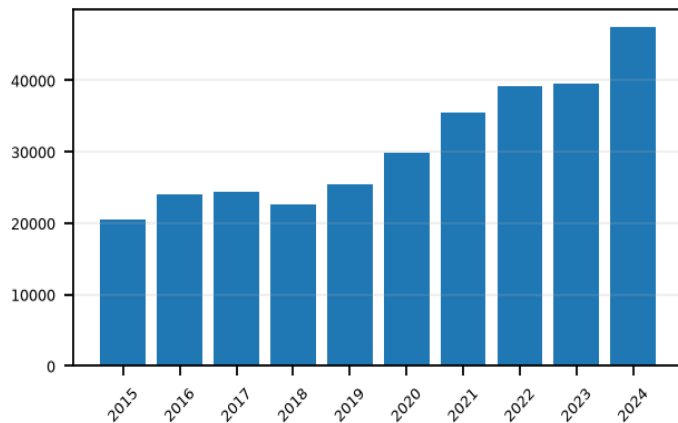
REC Ltd

RECLTD | Financials | N100 Financial Intelligence

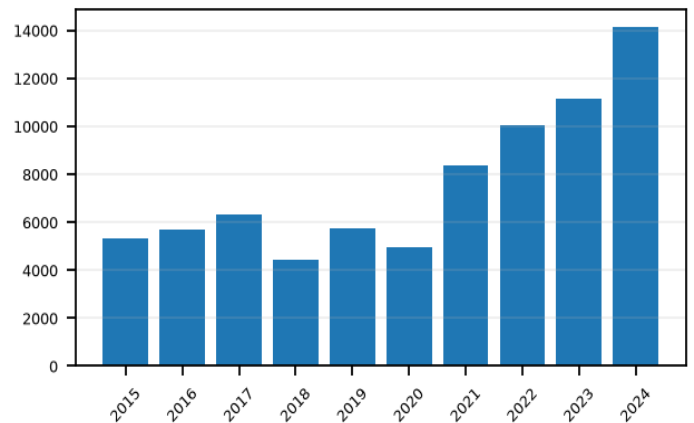
Revenue CAGR	PAT CAGR	ROE
13.34%	19.76%	20.40%
ROCE	Debt / Equity	Quality Score
9.30%	6.42	48.74

Financial Performance

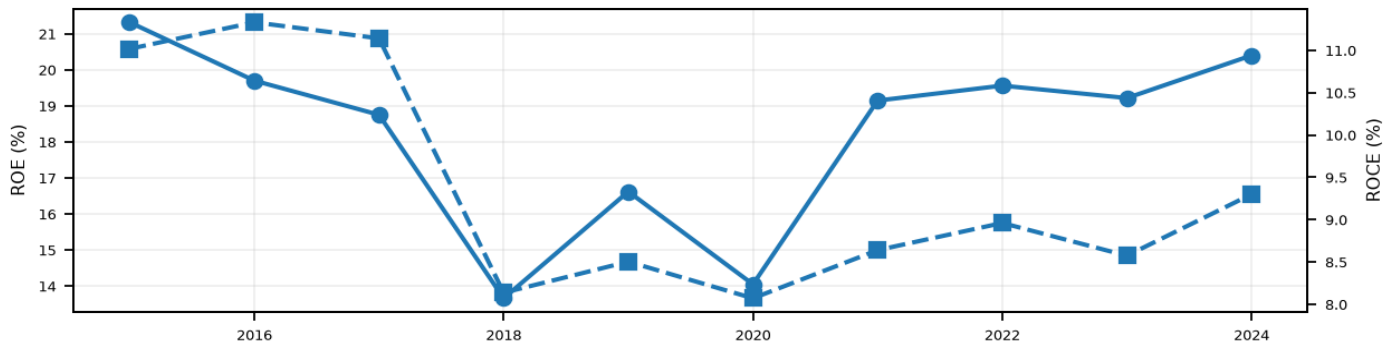
Revenue — 10 Years



Net Profit — 10 Years

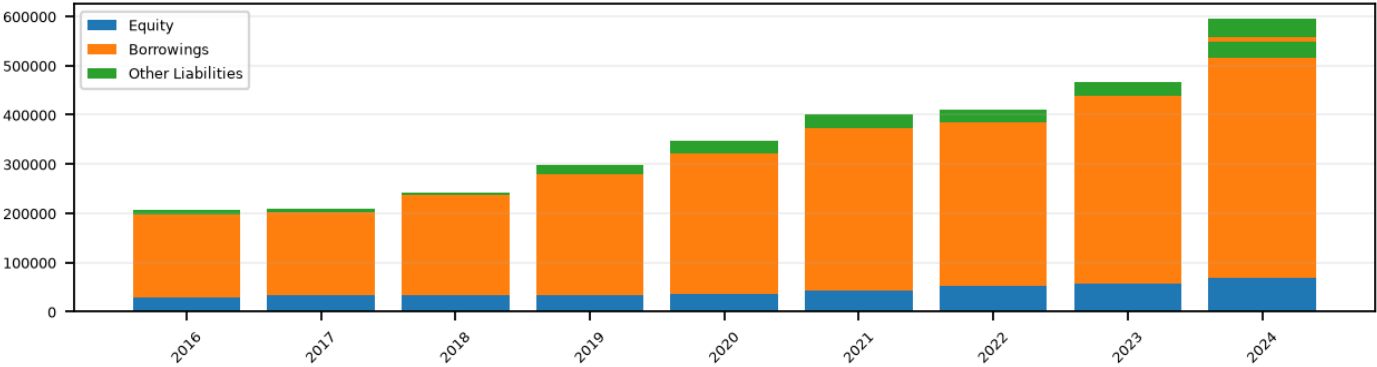


ROE vs ROCE — 10 Years

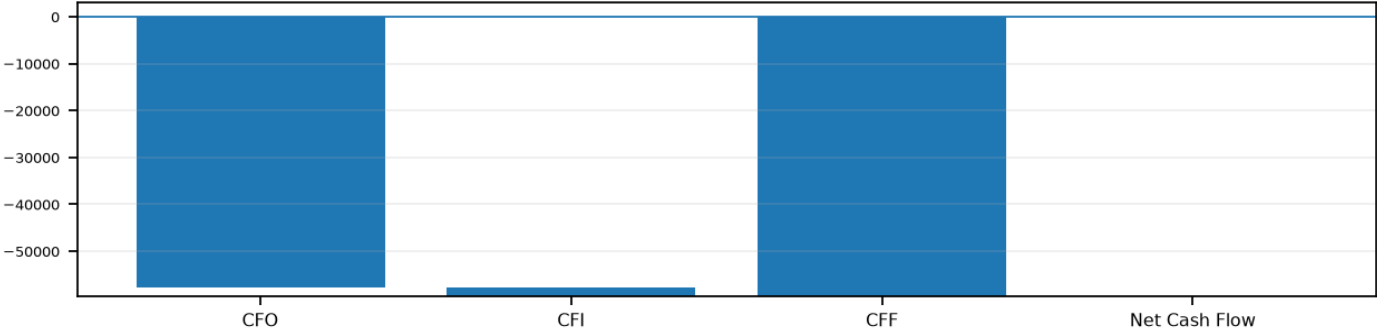


Balance Sheet & Cash Flow Intelligence

Balance Sheet Composition



Cash Flow Waterfall – 2024



PROS

- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Revenue growing slower than profits shows improving operating leverage and scale benefits
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding

CONS

- Debt-to-equity ratio of 6.42 is elevated for a non-financial company and warrants monitoring
- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital

CAPITAL ALLOCATION | Growth Funded by Debt